

Cloud Cost Waterfall

SLIBRARY 10 · SHEET 2 / 5

Where the monthly bill actually goes

PROFESSIONAL DEFINITION

A Cloud Cost Waterfall decomposes a cloud or AI bill into its components — compute, storage, networking, data transfer and managed services — to reveal where spend actually goes.

WHO DEVELOPED IT

A FinOps-practice construct for cost transparency, codified by the FinOps Foundation.

WHY IT WAS DEVELOPED

It was developed to counter opaque cloud billing, exposing the often-surprising drivers of spend such as data egress.

FIGURE 1 · CLOUD COST WATERFALL

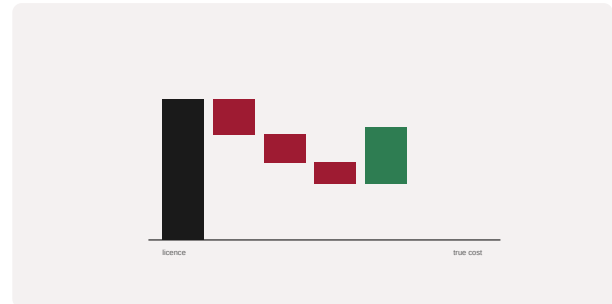


Figure 1. A schematic of the Cloud Cost Waterfall as applied in BARBM312 (illustrative).

HOW IT IS USED

The total bill is broken into a waterfall of components; the largest and least-expected drivers are targeted for optimisation.

WHEN IT IS USED

During cloud cost optimisation and AI operating-cost analysis.

BY WHOM IT IS USED

FinOps, finance and platform teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It makes cloud spend legible component by component, enabling targeted optimisation rather than blunt cuts.

RELATED FRAMEWORKS IN THIS COURSE

Private · Hybrid · Hyperscaler 2×2 · Slibrary 10

Latency-Cost Frontier · Slibrary 10

Data Gravity Map · Slibrary 10

FinOps Loop · Slibrary 10

SOURCES (HARVARD REFERENCING STYLE)

FinOps Foundation (2020) FinOps Framework.

Storment, J.R. and Fuller, M. (2019) Cloud FinOps. Sebastopol: O'Reilly.